6-7b Gross Profit Method of Inventory Costing

The

gross profit method (A method of estimating inventory cost that is based on the relationship of gross profit to sales.)

uses the estimated gross profit for the period to estimate the inventory at the end of the period. The gross profit is estimated from the preceding year, adjusted for any current-period changes in the cost and sales prices.

The gross profit method is applied as follows:

Step 1.

Determine the merchandise available for sale at cost.

Step 2.

Determine the estimated gross profit by multiplying the sales by the gross profit percentage, assumed to be 30% in this illustration.

Step 3.

Determine the estimated cost of goods sold by deducting the estimated gross profit from the sales.

Step 4.

Estimate the ending inventory cost by deducting the estimated cost of goods sold from the merchandise available for sale.

Exhibit 14 illustrates the gross profit method.

Exhibit 14

Estimating Inventory by Gross Profit Method

		A	B	C
	1			**Cost**
	2	Inventory, January 1		$ 57,000
	3	Purchases in January (net)		180,000
Step 1 →	4	Merchandise available for sale		$ 237,000
	5	Sales for January	$250,000	
Step 2 →	6	Estimated gross profit ($250,000 × 30%)	(75,000)	
Step 3 →	7	Estimated cost of goods sold		(175,000)
Step 4 →	8	Estimated inventory, January 31		$ 62,000
	9			

The gross profit method is useful for estimating inventories for monthly or quarterly financial statements. It is also useful in estimating the cost of inventory destroyed by fire or other disasters.